2.4.6 Disposable Income

Disposable Income is also known as Disposable personal income. It is the individuals income after the payment of income tax. This is the amount available for households for consumption.

Disposable Income = Personal income – Direct Tax.

As the entire disposable income is not spent on consumption,

Disposal income = consumption + saving.

2.4.7 Per Capita Income

The average income of a person of a country in a particular year is called Per Capita Income. Per capita income is obtained by dividing national income by population.



$$\text{Per Capita income} = \frac{\text{National Income}}{\text{Population}}$$



2.4.8 Real Income

Nominal income is national income expressed in terms of a general price level of a particular year in other words, real income is the buying power of nominal income. National income is the final value of goods and services produced and expressed in terms of money at current prices. But it does not indicate the real state of the economy. The real income is derived as follows:

$$\text{Real Income at constant price} = \text{National Income at current price} \div P_1 / P_0$$

P_1 – Price index during current year;
P_0 – Price index during base year

2.4.9 GDP deflator

GDP deflator is an index of price changes of goods and services included in GDP. It is a price index which is calculated by dividing the nominal GDP in a given year by the real GDP for the same year and multiplying it by 100.

$$\text{GDP deflator} = \frac{\textit{Nominal GDP}}{\textit{Real GDP}} \times 100$$

2.5 Methods of Measuring National Income



All goods and services produced in the country must be counted and converted against money value during a year. Thus, whatever is produced is either used for consumption or for saving. Thus, national output can be computed at any of three levels, viz., production, income and expenditure. Accordingly, there are three methods that are used to measure national income.

1. Production or value added method
2. Income method or factor earning method
3. Expenditure method

And if these methods are done correctly, the following equation must hold

Output = Income = Expenditure

12-Economics-Chapter_2.indd 22 23-12-2022 14:42:04